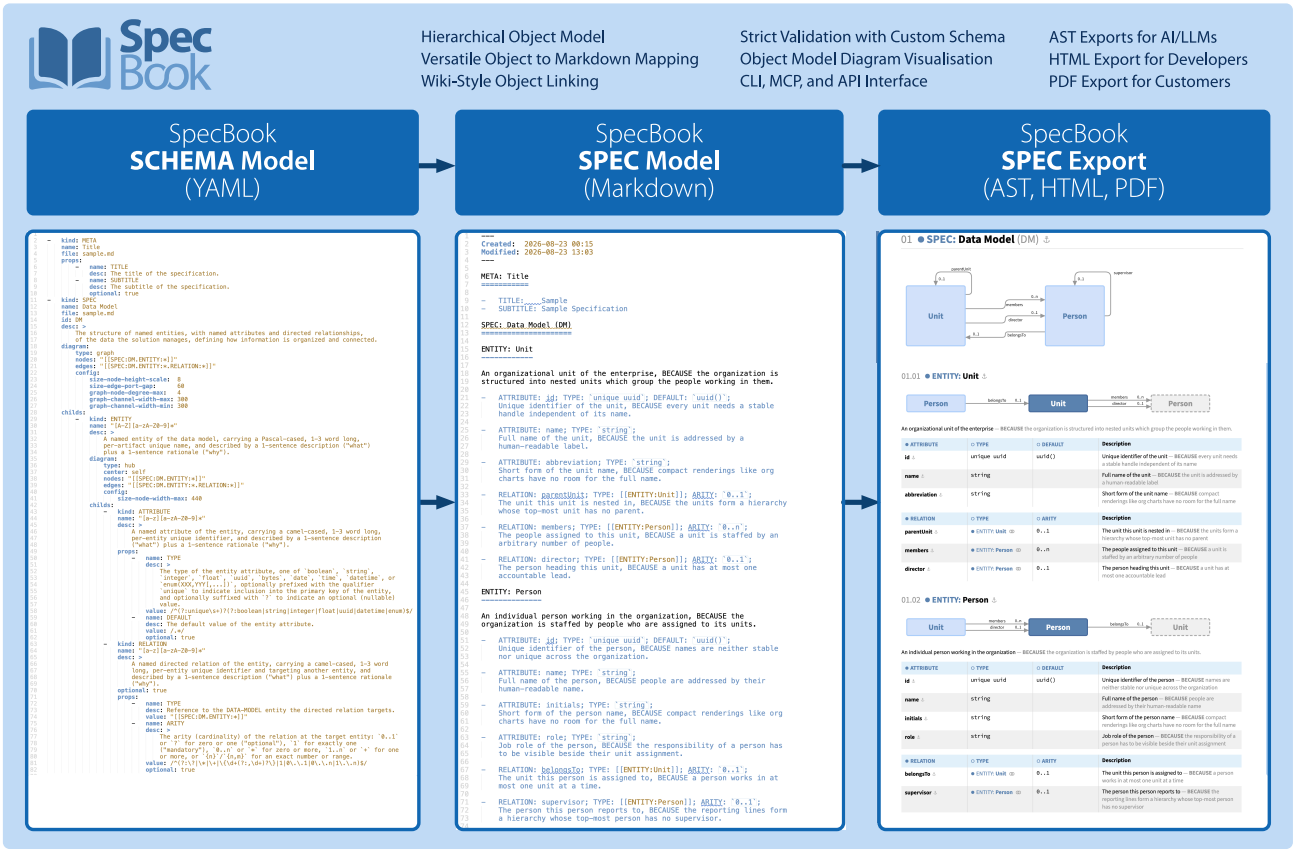


Software Engineering in Industrial Practice (SEIP)

Dr. Ralf S. Engelschall

Modern Software Specification

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In modern Software Engineering, a software specification is increasingly treated as a structured model instead of a free-form document. A specification becomes a hierarchical graph of typed objects, such as entities, attributes, and relations, written in a plain-text format like **Markdown** and linked through explicit cross-references. This Specification-as-Code approach puts specifications under version control, makes changes reviewable as “diffs”, and keeps every fact in exactly one place.

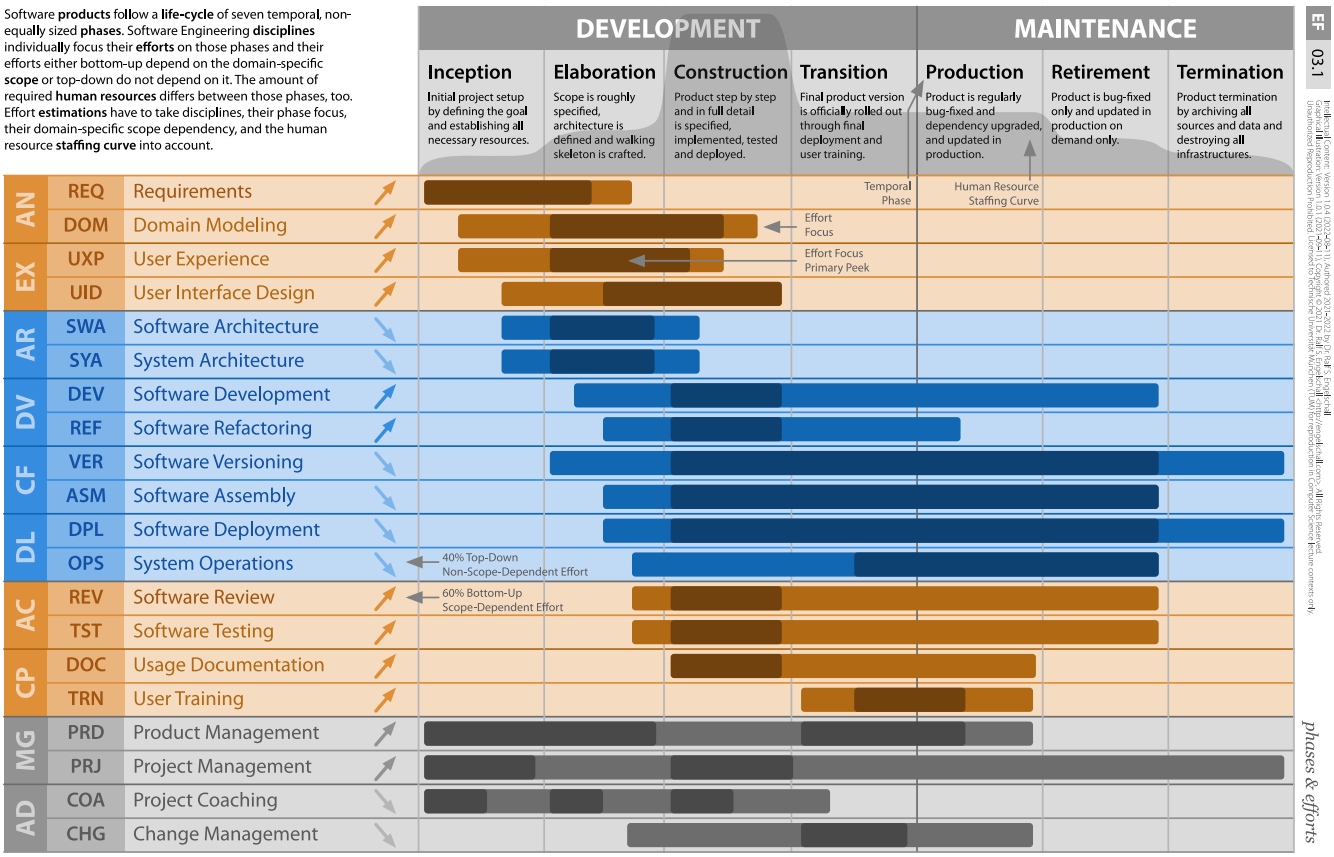
A central idea is separating rules from content. A schema, the meta-model, defines which kinds of objects a specification may contain, how they nest, and what values their properties may take. The specification itself must conform to that schema. This allows automated validation of structure, references, and consistency, so a specification is checked rather than merely written, much like source code against its type system.

The specification becomes the **Single Source of Truth**: one specification model feeds many views for different audiences. These include navigable documentation for developers, binding documents for customers, and machine-readable syntax trees for AI agents. Diagrams can even be derived from the model instead of being drawn by hand, so they always match the text. SpecBook is an example of this modern approach.

Questions

- What does **Single Source of Truth** mean in the context of a **specification**?

Software Engineering Efforts



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phases & efforts

Software products follow a **life-cycle** of seven temporal, non-equally sized **phases**. Software Engineering **disciplines** individually focus their **efforts** on those phases, and their efforts either bottom-up depend on the domain-specific scope, or their efforts top-down do not depend on it. The amount of required **human resources** differs between those phases, too.

Effort estimations have to take into account disciplines, their phase focus, their domain-specific scope dependency, and the human resource staffing curve.

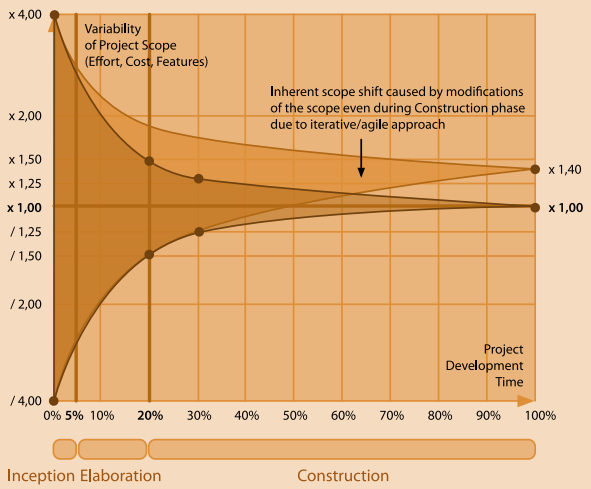
Furthermore, the seven sequential phases, especially, do not conflict with agile process models: agile time **periods** (named "sprints" in Scrum) merely subdivide the individual phases.

Questions

- What is the Software Engineering **phase** called, which has the greatest personnel requirements and in which primarily the functionalities are realized?

Uncertainty & Elaboration

Cone of Uncertainty



The ***Cone of Uncertainty*** (*Steve McConnell*, 2006) tells how the variability of the project scope (measured in Effort, Cost or Features) in Software Development changes over time. Initially, it usually is within the range of +/- 400% of the final scope.

The early development phases Inception and Elaboration especially have to ensure that within the first 20% of the project, the variability is reduced noticeably to just +/- 50%. During the initial iterations of the Construction phase within the first 30% of the project, the variability usually can be further reduced to about +/- 25%.

For iterative/agile approaches, experience showed that during the Construction phase inherently the final scope further shifts by about + 40% due to the just step-by-step learned required details of the required solution. This especially has to be taken into account for estimations.

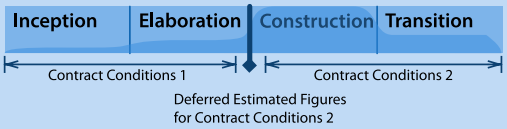
Essential Elaboration Phase

Walking Skeleton:

The ***Walking Skeleton*** (or *Technical Breakthrough*) is the design and implementation of the bare technical foundation of an application, still *without* any domain-specific functionalities. It is made during the Elaboration phase with the primary purpose to establish a stable integration of all technical aspects (libraries, frameworks, build procedures, etc) onto which the domain-specific functionalities later can be successively put onto.



Agile Fixed-Price Contracts:



The ***Agile Fixed-Price*** is an agile variant of a fixed-price contract, *not* a fixed-price project with an agile development process.



There are two important inherent aspects:

First, the contract contains two types of conditions: one (usually *Time & Material* but fixed duration based) for the Inception and Elaboration phases in order to make experiences and to gather necessary figures, and one (usually Fixed-User-Story and/or Fixed-Price based) for the Construction and Transition phases based on deferred estimated figures, gathered in the Elaboration phase.

Second, the Fixed-Price aspect of the contract is actually based on an amount of User-Stories (resulting in costs by multiplying them with either an average hourly rate of an engineer or individual rates based on engineer job levels), which the customer can 1:1 *exchange* during the project for different deliverables.

The crux of an Agile Fixed-Price contract is: first, during the Inception and Elaboration phases the supplier can shrink the *Cone of Uncertainty* and this way its risks dramatically, and second, during the Construction and Transition phases the customer still remains flexible in scope.

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The **Cone of Uncertainty** tells how the variability of the project scope (measured in Effort, Cost or Features) in Software Development changes over time. The early development phases Inception and Elaboration especially have to ensure that the variability is reduced noticeably.

For iterative/agile approaches, experience showed that during the Construction phase, inherently, the final scope further shifts due to the just step-by-step learned, required details of the required solution.

The Elaboration phase is especially important for the creation of the **Walking Skeleton**, where all the technical integrations of libraries, frameworks, build procedures, etc., are done without already implementing any domain-specific functionalities.

Because of the **Cone of Uncertainty**, **Agile Fixed-Price** project contracts usually differentiate between the early phases Inception and Elaboration and the main phases Construction and Transition. The contract conditions of the latter usually depend on figures that can only be seriously estimated at the end of the Elaboration phase.

Questions

- What is especially developed in the project phase “Elaboration”?

Effort Estimations

Estimation & Variability

Three-Point Estimation and Estimation Variability Classes:

$e = (b + 4 \times m + w) / 6$	expected effort (weighted average)
$s = (w - b) / 6$	standard deviation (effort variation)

b: best-case (optimistic)
m: most-likely (realistic)
w: worst-case (pessimistic)

Insane Variability:	+/- 10%
Very Good Variability:	+/- 15%
Good Variability:	+/- 20%
Acceptable Variability:	+/- 25%

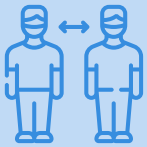


Conversion & Normalization

1. Ask Estimater:
"How many Person-Days do you need when you can focus on this task?"

2. Convert from Estimator to Performer:
(see also CAP model, http://cap-model.com)

Estimator \ Performer	Non-Linear Effort Reduction 0% Novice	10% Practitioner	25% Master	45% Expert	80% Guru
Novice	1,00	0,90	0,75	0,55	0,20
Practitioner	1,11	1,00	0,83	0,61	0,22
Master	1,33	1,20	1,00	0,73	0,27
Expert	1,82	1,64	1,36	1,00	0,36
Guru	5,00	4,50	3,75	2,75	1,00

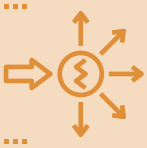


Sizes & Variability

Estimation Sizes and Estimation Variability:

T-Shirt-Size (Logically)	XXS	XS	S	M	L	XL	XXL	XXXL
Fibonacci-Size (PD or SP)	**0,50**	**1**	**2**	**3**	**5**	**8**	**13**	**21**
Size Variability (-)	0,25	0,25	0,50	0,50	1,00	1,50	2,50	4,00
Size Variability (+)	0,25	0,50	0,50	1,00	1,50	2,50	4,00	8,00

Notice: Estimations can be done in *Person-Days (PD)* or *Story-Points (SP)*. In both cases, keep in mind to use something like the *Fibonacci* numbers which increase in a non-linear fashion and express the increasing variability with the increasing total amount of estimated effort.



Risk Mitigation & Upscaling

3. Adjust for Reality:
Estimator Optimism: +30%
Performer Meetings: +20%

4. Adjust for Uncertainty:

Domain	Inception	Elaboration	Construction
unknown	30%	40%	20%
partially known	15%	20%	10%
fully known	0%	0%	0%

Technology	Inception	Elaboration	Construction
unknown	20%	60%	10%
partially known	10%	30%	5%
fully known	0%	0%	0%

Process	Inception	Elaboration	Construction
unknown	60%	40%	10%
partially known	30%	20%	5%
fully known	0%	0%	0%

People	Inception	Elaboration	Construction
unknown	60%	40%	0%
partially known	30%	20%	0%
fully known	0%	0%	0%



Effort Estimations (Content Version 1.0.1, 2022-10-10) Authored 2021-2022 by Dr. Ralf S. Engelschall (based on concepts from Steve McConnell). Graphical Illustration Version 1.0.1, 2022-10-10. Copyright © 2021-2022 Dr. Ralf S. Engelschall (http://engelschall.com). All rights reserved. Unauthorized Reproduction Prohibited. Licensed to Technische Universität München (TUM) for reproduction in Computer Science lecture contexts only.

Effort estimations are usually based on a **Three-Point Estimation** where a weighted average of "best case", "most likely" and "worst case" is used. A good estimation variability in practice is about +/- 20%.

For **Expert Estimations**, a fixed scale of estimation sizes is usually used in practice, which is based on the **Fibonacci** sequence of numbers, to take into account the fact that higher estimated efforts also have higher estimation variability.

Additionally, one usually has to post-adjust the estimation of experts to further take into account the different skill and experience levels between the task estimator and the subsequent task performer, the usual human optimism of the estimator and the practical meeting and inevitable communication distractions of the performer.

In case of uncertainty because of entirely unknown or at least just partially known aspects Domain, Technology, Process and People, the total estimated efforts of the usual project phases have to be additionally upscaled.

Questions

- What variability does a **good** estimation have?

Agentic Software Engineering



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Foundations: Software is the intangible, changeable set of programs and data that make a computer do tasks. Engineering is the systematic, traceable application of scientific knowledge to design, build, operate, and maintain solutions, so Software Engineering applies that discipline across a software system's lifecycle.

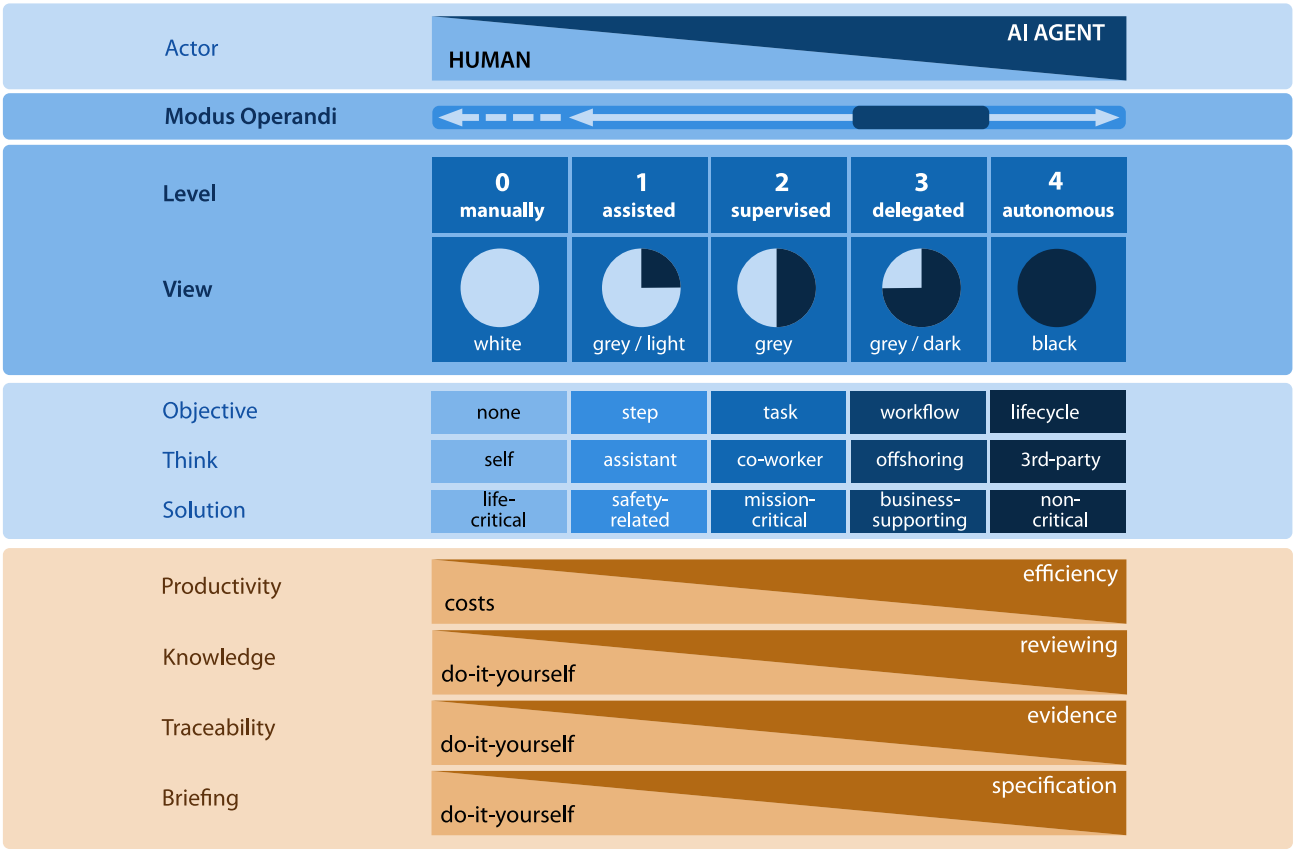
From AI to agents: Artificial Intelligence ranges from symbolic AI to machine learning and generative models like LLMs. A Software Agent acts autonomously toward delegated goals: it perceives its environment through inputs and acts through outputs, reactively, proactively, and socially. An AI Agent is such an agent with an AI model (usually an LLM) as its reasoning core. The Agent Harness around the model runs the control loop (e.g., ReAct), supplies tools, manages context, and enforces guardrails. The model decides what to do; the harness decides what it can do.

Agentic Software Engineering: Agentic AI builds systems of autonomous agents that plan, act, and adapt toward long-horizon goals, taking real actions rather than just generating responses. Applied to Software Engineering, agents carry out multi-step tasks across the development lifecycle within a traceable process. Human engineers shift toward specifying goals, overseeing and reviewing the work, and governing it through Human-in-the-Loop gates.

Questions

- How is the work divided between the AI model and the agent harness in an AI agent?

Agentic Modus Operandi



Tasks are shared between human and AI agent across five autonomy levels: manually (0), assisted (1), supervised (2), delegated (3), and autonomous (4). Each level matches a familiar way of working: doing it yourself, using an assistant, working with a co-worker, offshoring, and finally handing it to a third party. Along the way, the agent's work result shifts from a white box (fully visible and comprehensible) to a black box (opaque).

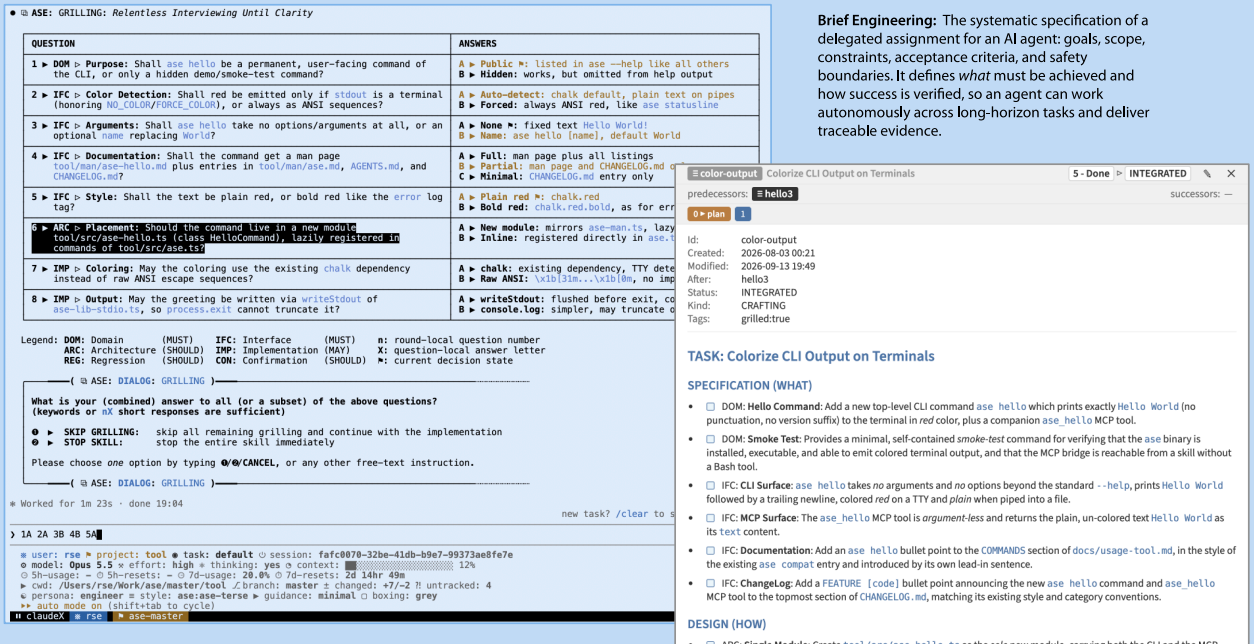
With each level, the agent takes on a larger objective, from none to a single step, a task, a workflow, and up to the entire lifecycle. Higher autonomy fits less critical solutions, ranging from life-critical and safety-related systems at the manual end to supporting and non-critical systems at the autonomous end.

Moving toward autonomy shifts productivity from human costs toward efficiency. The human role changes too: knowledge moves from doing it yourself to reviewing, traceability from doing it yourself to evidence, and briefing from doing it yourself to precise specification.

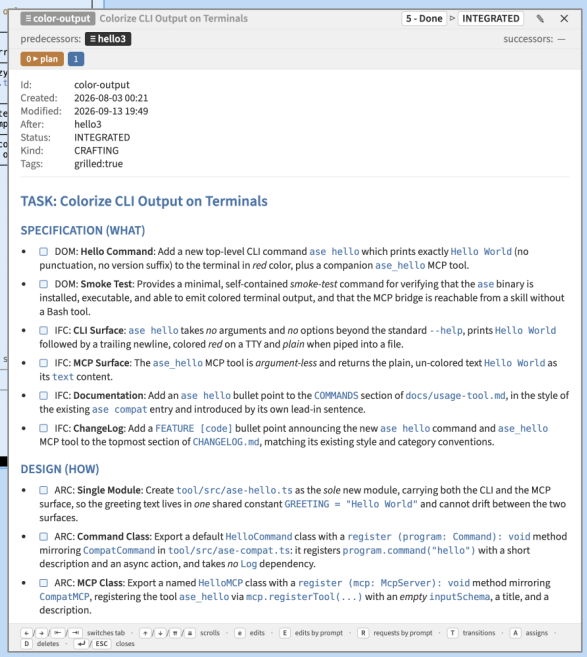
Questions

- At which autonomy level does an agent operate that independently carries out a complete workflow?

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Brief Engineering: The systematic specification of a delegated assignment for an AI agent: goals, scope, constraints, acceptance criteria, and safety boundaries. It defines *what* must be achieved and how success is verified, so an agent can work autonomously across long-horizon tasks and deliver traceable evidence.



Prompt Engineering: The craft of formulating individual inputs (prompts) to an AI model so that a single request reliably produces the desired output. It focuses on phrasing, structure, examples, and instructions within one prompt–response exchange.

Context Engineering: The systematic design and management of everything an AI model sees while it works: instructions, retrieved knowledge, tool definitions and results, memory, and conversation history. It decides what goes into the limited context window at each step of an agent's control loop, usually handled by the Agent Harness.

Three levels of engineering: Prompt Engineering optimizes a single prompt–response exchange. Context Engineering manages everything the model sees at each step of the agent's control loop. Brief Engineering specifies a whole delegated assignment: what must be achieved and how success is verified.

Grilling for clarity: "Grilling" means the agent relentlessly interviews the human until the brief is clear. In practice it usually is instructed to ask structured multiple-choice questions, prioritized according to Domain, Interface, Architecture, and Implementation.

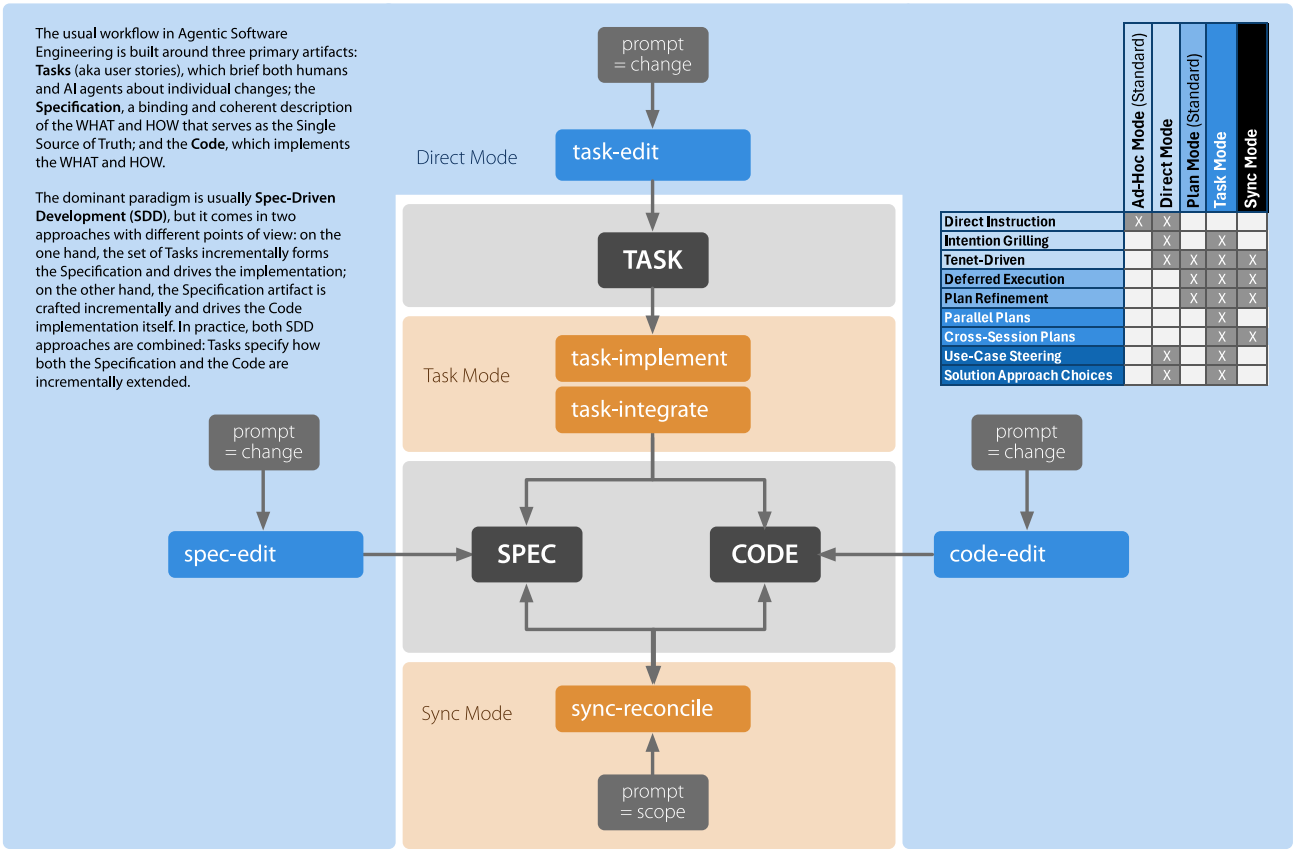
The answers usually become a structured task with checkable items, split into a Specification (WHAT), a Design (HOW), and a Verification (WHEN). This gives the agent a precise brief for autonomous work and gives the human a traceable record for review.

Questions

- What is meant by "grilling", and why is it especially important when the agent has high autonomy?

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Agentic Workflow



The usual workflow in Agentic Software Engineering is built around three primary artifacts: **Tasks** (aka User Stories), which brief both humans and AI agents about individual changes; the **Specification**, a binding and coherent description of the WHAT and HOW that serves as the Single Source of Truth; and the **Code**, which implements the WHAT and HOW.

The dominant paradigm is usually **Spec-Driven Development (SDD)**, but it comes in two approaches with different points of view: on the one hand, the set of Tasks incrementally forms the Specification and drives the implementation; on the other hand, the Specification artifact is crafted incrementally and drives the Code implementation itself. In practice, both SDD approaches are combined: Tasks specify how both the Specification and the Code are incrementally extended.

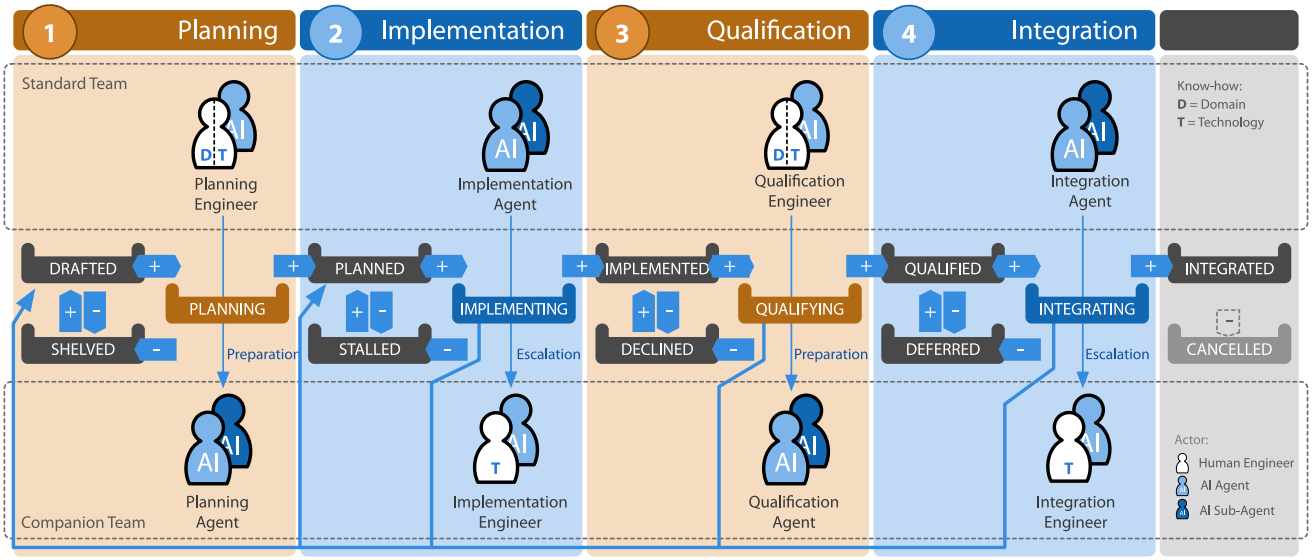
Questions

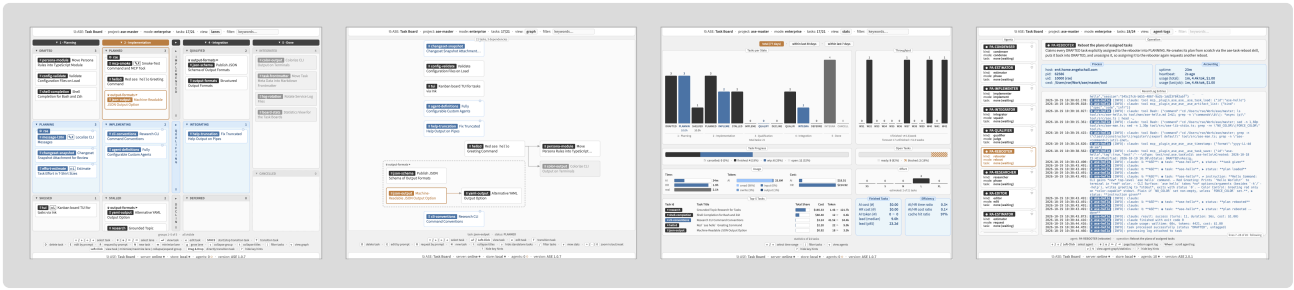
- What are the three primary artifacts in Agentic Software Engineering, and how are the two SDD approaches combined in practice?

ENGINEERING FUNDAMENTALS

Agentic Development Pipeline

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A Task passes through four phases: Planning, Implementation, Qualification, and Integration. Its main states are DRAFTED, PLANNED, IMPLEMENTED, QUALIFIED, and INTEGRATED, connected by the active states PLANNING, IMPLEMENTING, QUALIFYING, and INTEGRATING. Each phase also has a parking state (SHELVED, STALLED, DECLINED, DEFERRED), tasks can be CANCELLED, and failed tasks loop back to earlier phases.

The Standard Team consists of humans and AI agents who alternate across the phases. Human engineers with domain and technology know-how handle Planning and Qualification, where judgment about the WHAT and its acceptance matters. AI agents handle Implementation and Integration, where execution of the HOW dominates.

The Companion Team complements this setup: each primary actor is backed by a counterpart. AI agents do the preparation for the human Planning and Qualification Engineers, while human engineers with technology know-how take over escalations from the Implementation and Integration Agents.

Questions

- Why do humans handle Planning and Qualification in the Standard Team, while AI agents handle Implementation and Integration?

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tasks & states